

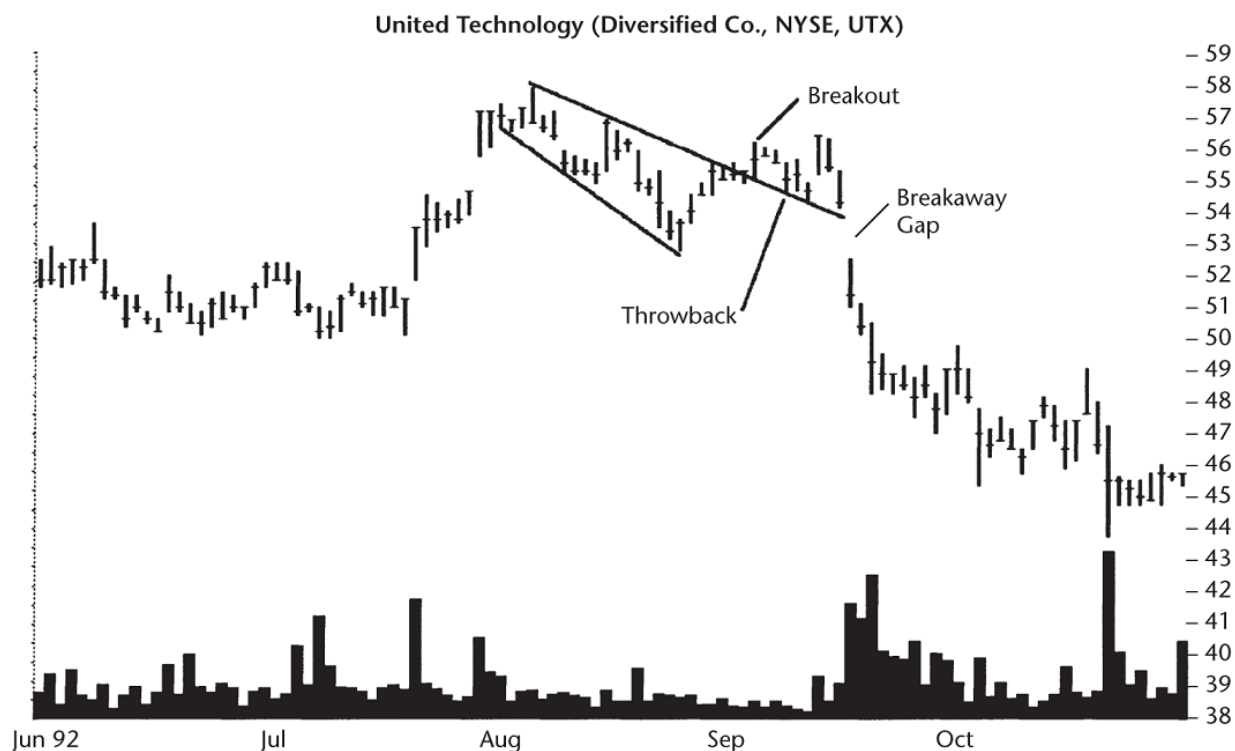


Figure 13.4 This wedge is a failure according to the 5% rule. Price fails to move up from the breakout by more than 5% before collapsing.

I have extended the top trendline in the Figure to highlight the throwback. You see that price rides along the top trendline, following it lower until it gaps down (a breakaway gap) on 17 September.

This wedge is an example of what I call a 5% failure, that is, when price breaks out and moves no more than 5% before reversing. This type of failure is common, happening between 18% (upward breakouts) and 35% (downward breakouts) of the time.

Why these failures occur is unclear. Sometimes nearby overhead resistance to an upward breakout or underlying support to a downward thrust will repulse price and cause a failure. Traders change their minds about a stock and bolt for the exits, causing price to move in an unexpected direction.

If the general market makes a sudden move, such as a large drop, it'll suck the life out of upward breakouts. If news comes out that oil prices have spiked, the industry may suffer and that pain gets reflected in the stock. And of course, if a cherished CEO gets caught with his hands in the cash register, that may cause problems, too. General market, industry, and stock trends all play their part in causing a 5% failure.